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We are increasingly getting more westernised in our food but with a local touch. The inherent advantages for a category like croissant are low penetration and a huge spike for growth"

of ₹4,000 crore in FY22, with net profit margins over time at 5-6 per cent, compared to at least 12 per cent for Britannia. Its Founder, Chandubhai Virani, outlines the challenges in running a snacks business in India. "In *namkeen* [salty snacks], you have a high cost of raw material compared to biscuits, for instance, where *maida* or wheat come at around half the price. Then, you deal with something like potatoes where the price fluctuates," he explains. At one point, all his business came from his home state, Gujarat, but now with his products selling in 15 states, that proportion is at 40 per cent. "This business needs to have a very tight cost structure and for us, the factory and warehouse are housed in the same premises. Besides, you just can't take your eyes off quality or innovation." His company has a portfolio of 50 products, which includes *namkeen* and wafers in several variants.

The combination of a snacks market growing impressively on a large base plus consumers upgrading is enticing. "However, 80 per cent of the mass-market snacks are sold in the ₹5 or ₹10 price points. To successfully operate in this segment would require a very localised, intensive distribution system covering a wide spectrum of outlets," points out Narayanan. Inevitably, that means

lower margins. That said, the premium snacking category, though much smaller in size, is growing rapidly. "It is this market segment that plays to Britannia's strengths of innovation and distribution."



| 29

₹4,000

CRORE

BRAND VALUE OF GOOD DAY COOKIES, WHICH IS THE LARGEST BY REVENUE IN BRITANNIA'S PORTFOLIO

MUCH AS AN overwhelming proportion of Britannia's revenue comes from biscuits, it is not sitting quiet. In fact, it quite literally wants to nibble at every opportunity. The company's biggest markets are the South and East. Going national is important for Berry, but again with an element of flexibility.

In mid-2021, the iconic Milk Bikis biscuit, for which Tamil Nadu is the biggest market, was launched in north India. With actor Pankaj Tripathi as the brand ambassador, this was a 100 per cent *atta* variant with a "Doodh Roti ki Shakti" line. Berry says people in the North, a large terrain for Parle Products along with the West, understand this very well. "My theory is that the biggest product successes are those with universal appeal, but in India it is difficult since food habits change every 100 km. We are still a very small player in a large market like Uttar Pradesh, but this kind of region-wise approach is important." Likewise, in Tamil Nadu, a Milk Bikis Classic has been launched.

In the cookies segment, Britannia has an overwhelming presence thanks to Good Day, a ₹4,000-crore brand and the largest by revenue in the company's portfolio. Industry officials, quoting